Hero MotoCorp

HEROMOTOCO

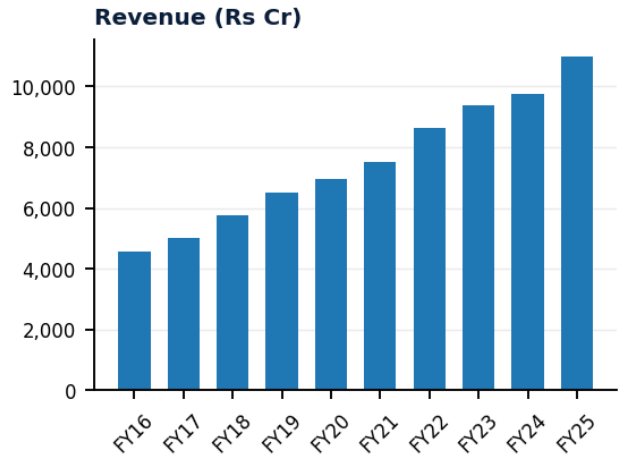
Sector: Automobiles

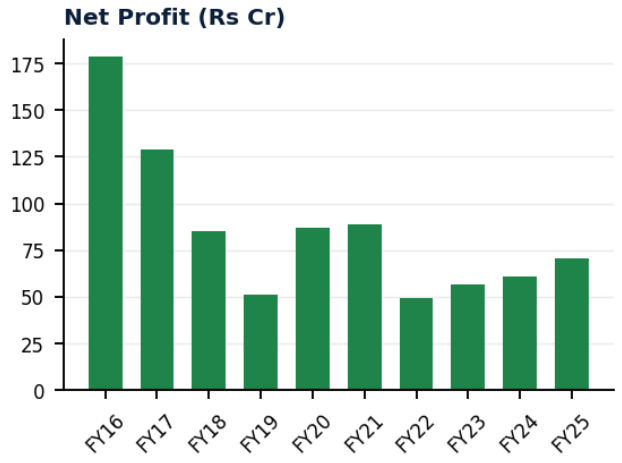
Key performance indicators (FY2025)

Revenue (Rs Cr)	Net Profit (Rs Cr)	Operating Margin (%)
10,998	70	3.0%

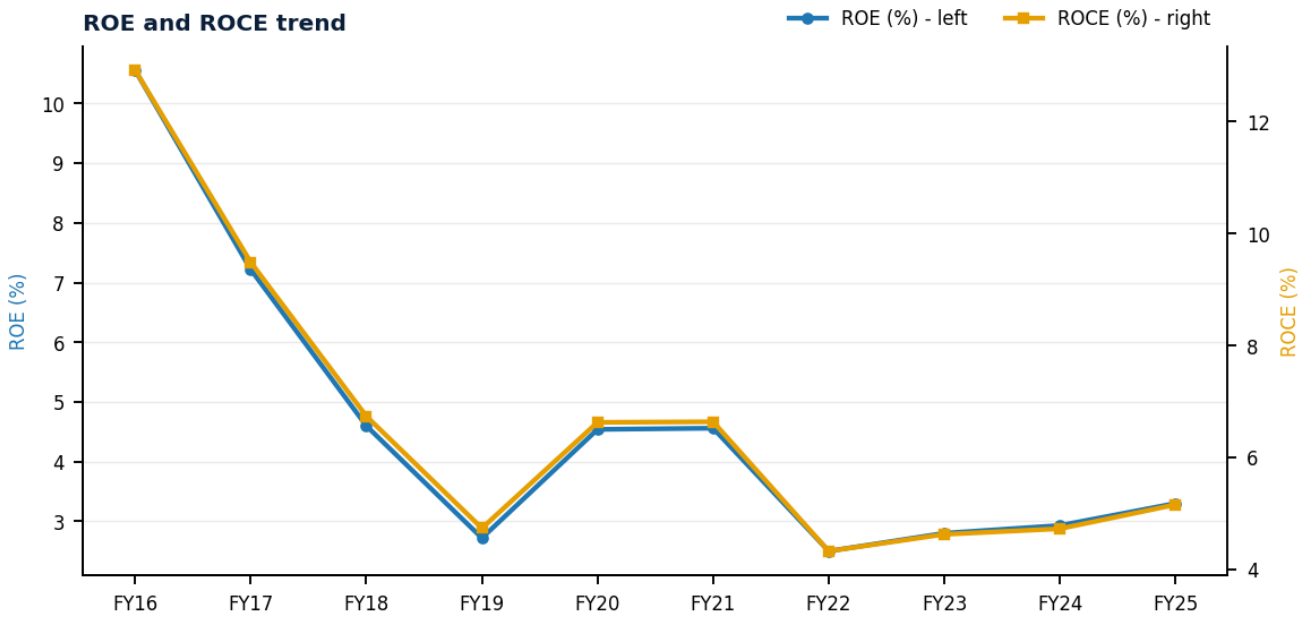
ROE (%)	ROCE (%)	Debt / Equity (x)
3.3%	5.2%	0.20x

10-year Revenue and Net Profit

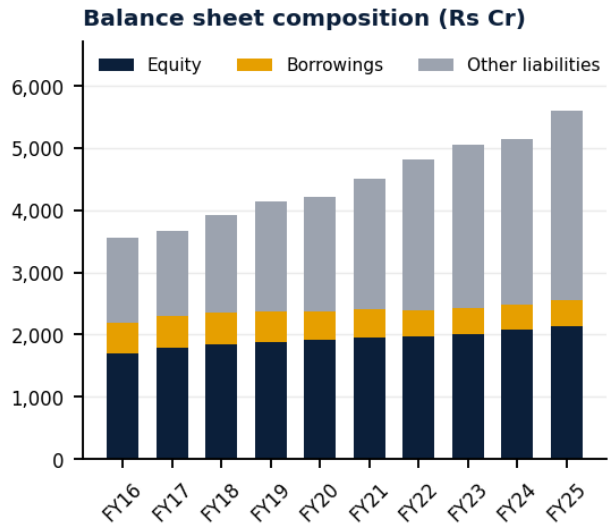


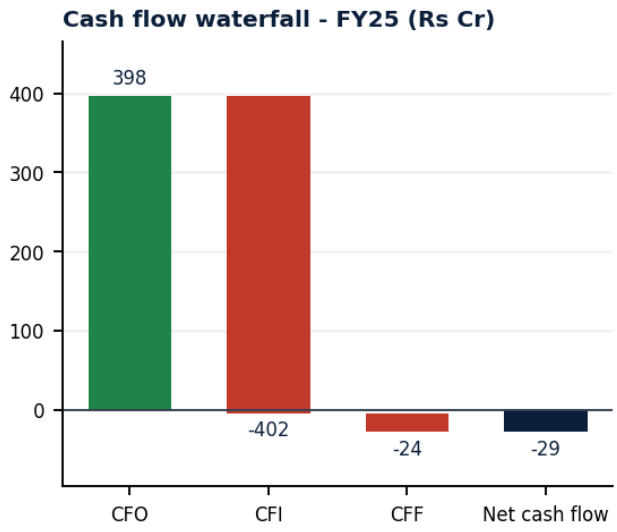


Return ratios (ROE and ROCE)



Balance sheet composition and cash flow





Pros - what the numbers favour

- Return on equity improving for 3 consecutive years shows strengthening business quality (63%)

Cons - what to watch

- Free cash flow negative for 3 consecutive years raises concern about cash generation quality (100%)
- Interest coverage ratio below 1.5x indicates the company is at risk of not meeting its debt obligations (100%)
- Return on capital employed below 10% suggests the business is not generating sufficient returns on invested capital (79%)

Capital allocation pattern (FY2025)

Reinvestor

Cash flow intelligence

CFO quality	CapEx intensity	Distress signal	Deleveraging
High Quality (5.49)	**Moderate (3.7%)**	**No**	**No**